WEEK 4 · LECTURE L1 OF 3 · UNIT II

HRIS: The System of Record

What an HRIS does, how to choose one, and the hidden cost of integration.

Part 1 HRIS, HRMS, HCM; one employee, one record

Part 2 Suite or best of breed; build, buy or configure

Part 3 Integration, and what four decades of e-HRM research show

Read Bondarouk, Parry and Furtmueller (2017); Caldwell (2022), HRIS chapter

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OPENING QUESTION

GreenLeaf runs two HRIS, one payroll system and a pile of spreadsheets. When the CFO asks how many people work here, which system answers?

PART A · THE HRIS LADDER

HRIS, HRMS and HCM are steps in scope

Term	What it covers	GreenLeaf today
HRIS	The core record: who works here, in what role, reporting to whom	SYS-01 LegacyHR, on premises
HRMS	The record plus transactions: payroll, leave, attendance	LegacyHR and PayEasy, run apart
HCM suite	Transactions plus talent: hiring, learning, performance, analytics	SYS-02 PeopleCloud, still a pilot

PART A · SYSTEM OF RECORD

One employee, one record

Definition

The system of record is the single authoritative source for each fact about an employee. Other systems read from it; none overwrites it.

0.43

LegacyHR adoption, 520 of 1,200 users

0.38

PeopleCloud pilot, 150 of 400 users

1.00

Spreadsheet Trackers adoption, with satisfaction of only 1.5 out of 5

PART A · THE ARCHITECTURE CHOICE

Suite or best of breed

Integrated suite

+ One vendor, one data model
+ Integration comes built in
– Weaker in some modules
– Harder to leave the vendor

Best of breed

+ Strongest tool for each module
+ Modules upgrade on their own
– Every pair of tools needs a connector
– Data definitions drift apart

Best of breed works only when one core HRIS holds the record and every other tool reads from it.

PART A · SOURCING THE SYSTEM

Build, buy or configure

Route	Fits when	Main risk	At GreenLeaf
Build	The process is a real advantage	Depends on a few people	SahayakBot, ESS App, ReferWin
Buy	The process is standard	Fit gaps, lock in, data residency	PeopleCloud, HireRight ATS
Configure	A bought platform needs local fit	Heavy customizing turns into a build	Most suite rollouts

PART A · THE HIDDEN COST

Integration does not appear on the invoice

120

possible point to point links among 16 systems, using n(n – 1) ÷ 2

6 of 10

HR processes run standalone, with no live data feed

1 of 10

process is fully integrated, and it is Payroll

Every unconnected system adds reconciliation, duplicate entry and a spreadsheet to bridge the gap.

L1 · THE RESEARCH

What four decades of e-HRM research says

Adoption has three drivers

Bondarouk, Parry and Furtmueller (2017) sort the evidence into technology, organization and people factors. All three must line up.

Efficiency is proven

The strongest evidence is for faster, cheaper, more accurate administration.

Strategy is not automatic

Evidence for strategic or relational gains is thinner, and depends on how the system is implemented and accepted.

THE LESSON

The same software produces different results in different firms. Implementation and user acceptance, not the license, decide the outcome.

Every tool bought before the record is settled becomes one more spreadsheet.

Going deeper: the theory underneath the HRIS

The next slides set out DeLone and McLean, transaction cost economics, socio-technical systems, and Lepak and Snell: what each claims, how it works, where it breaks, and what it means at GreenLeaf.

THEORY IN DEPTH · DELONE AND MCLEAN (1992, 2003)

What makes an information system succeed

THE CORE IDEA

Success is a chain: quality leads to use and satisfaction, which lead to net benefits.

HOW IT WORKS

System quality, information quality and service quality drive use and user satisfaction, then benefits.

LIMITS AND CRITIQUE

Use is ambiguous when it is mandatory: forced use says little about success.

AT GREENLEAF

PayEasy has adoption 1.00 because everyone must be paid. Its high satisfaction (4.2) is the better signal.

THEORY IN DEPTH · WILLIAMSON (1985)

Build, buy or configure is a transaction cost choice

THE CORE IDEA

Firms decide whether to make or buy by comparing the costs of organizing each transaction.

HOW IT WORKS

High asset specificity and uncertainty favor making in-house; standard needs favor buying.

LIMITS AND CRITIQUE

Underplays capabilities and learning, which can matter more than transaction costs.

AT GREENLEAF

Payroll is standard: buy it. A vernacular frontline interface fitted to GreenLeaf is specific: configure or build.

THEORY IN DEPTH · TRIST AND BAMFORTH (1951)

Optimize the social and technical systems together

THE CORE IDEA

In British coal mines, new machinery broke up work groups and productivity fell.

HOW IT WORKS

Joint optimization: design technology and work organization together, not one after the other.

LIMITS AND CRITIQUE

Some argue it suits factories more than knowledge work, though its core point travels well.

AT GREENLEAF An HRIS rollout that ignores how store managers actually work will be worked around.

THEORY IN DEPTH · LEPAK AND SNELL (1998)

IT can change HR in three ways

THE CORE IDEA

Technology can have operational, relational and transformational effects on HR.

HOW IT WORKS

Operational: automate transactions. Relational: connect people. Transformational: change HR's role.

LIMITS AND CRITIQUE

Most firms stop at operational gains, which are easiest to measure.

AT GREENLEAF

GreenLeaf's case for change must reach the transformational level, or it is only a cheaper paper process.